CIENA

Cloud networks need delivered capacity and retained profit

CIEN | Research update | October 16, 2026 | Investing Framework 8 | Not held

The active Q4 2027 model target rises from about $391 to $395, about+1%. The more important change is later:2029 adjusted operating profit rises about 7%. Both use the same 20x future-four-quarter profit method and 146 million-share assumption. Excel Base and analytical Base remain 77.

Ciena combines coherent optical systems, line systems, pluggable optics, network software and deployment services. AI clusters increase traffic between facilities as well as inside them. Its advantage is system performance, qualification, installed architecture and software; capable competitors prevent a permanent sole-source conclusion.

The new case recognizes the issuer September 16 three-year plan after deducting growth, pricing and products already embedded in the prior model. It does not import the bank stock target, capitalize unfilled orders as sales, or add each product story again.

The 60% execution weight is an ASTRA judgment. The 2029 endpoint is conditional; manufacturing supply, competition, customer concentration, product adoption and delivery timing can prevent realization.

Current horizon	Q4 2027 throughQ3 2028
Adjusted OP, USD millions	2,886
Valuation	20x adjusted operating profit /146 million shares
Target, USD per share	395
Excel / analytical Base	77 /77

The business and the earnings anchor

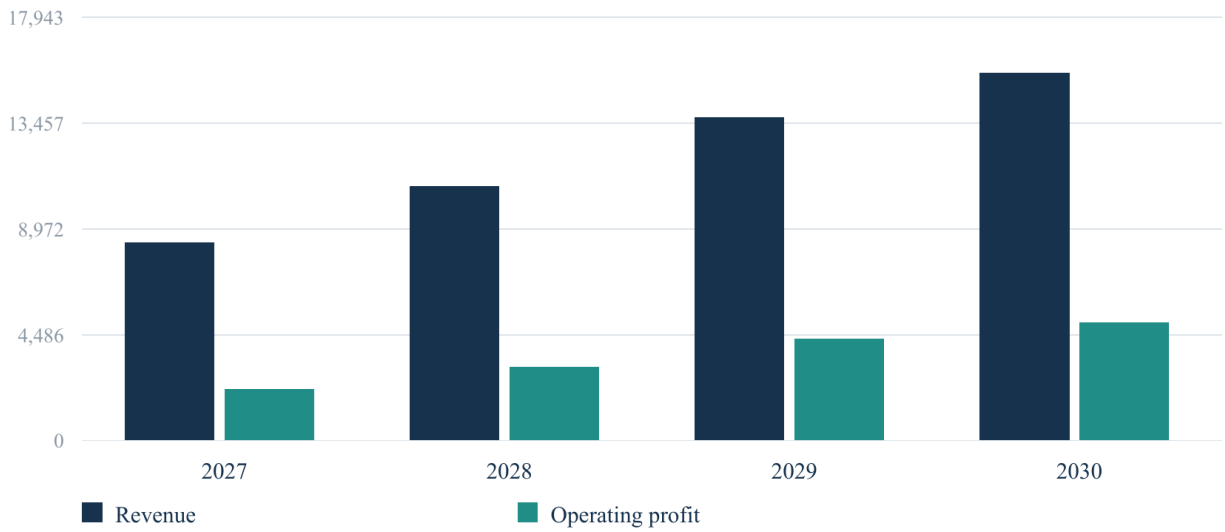
The retained September 3 earnings anchor is fiscalQ3 2026. Revenue was about $1,671 million, adjusted operating profit about $376 million, gross margin about 46% and operating margin about 22%. Backlog was about $8,500 million, with management then expecting more than $10,000 million at fiscalyear-end. Backlog is an order stock with future requested delivery dates, not current recognized revenue.

Two customers accounted for about 42% of sales. Cloud demand is strong, but qualification, constrained components, production capacity and customer acceptance determine delivery. Financial output must follow accepted equipment and software/services, not nominal factory expansion.

FiscalQ4 2026 remains anchored to the retained revenue guidance of about $1,750 million and direct 20% operating-margin guide. The simultaneous gross-margin and opex midpoints imply a somewhat higher margin. The model retains the lower direct operating-margin guide and its explicit expense reconciliation; this review does not silently resolve that issuer-guide inconsistency.

Revenue and adjusted operating profit

USD millions. Model forecasts; not reported results.

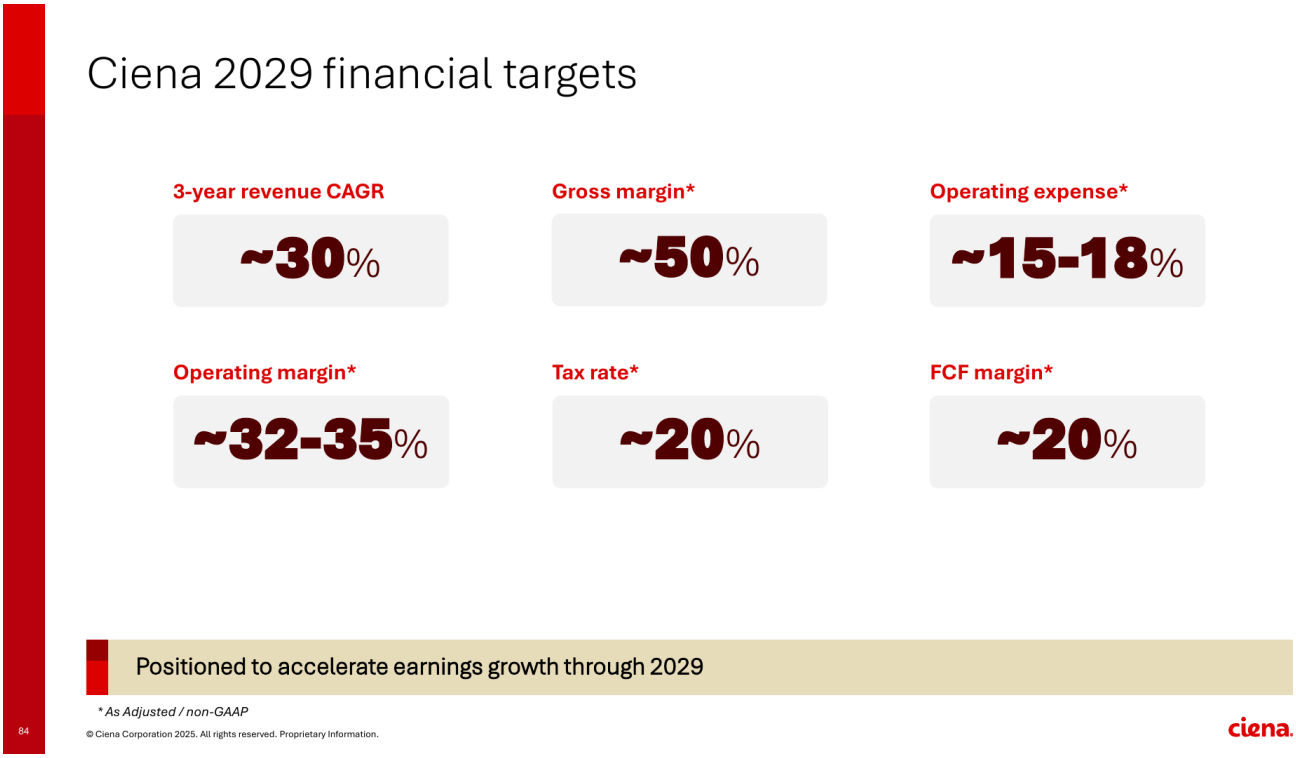


ASTRA model forecasts, USD millions. Existing fiscal/display quarter labels retained.

Year	Revenue	Adjusted OP
2027	8,400	2,189
2028	10,790	3,120
2029	13,703	4,314
2030	15,603	4,997

What changed in the issuer plan

The September 16 Investor Forum targets roughly 30% revenue growth per year from fiscal 2026 to 2029, about 50% adjusted gross margin and 32-35% adjusted operating margin by 2029. The prior model already contained substantial growth but reached only about 31% operating margin in 2029. This is a genuine forward operating-target update, with a material later-year effect.



Original Ciena Investor Forum, September 16, 2026, PDF page 84. Targets are forward-looking adjusted measures; no full future GAAP reconciliation is available.

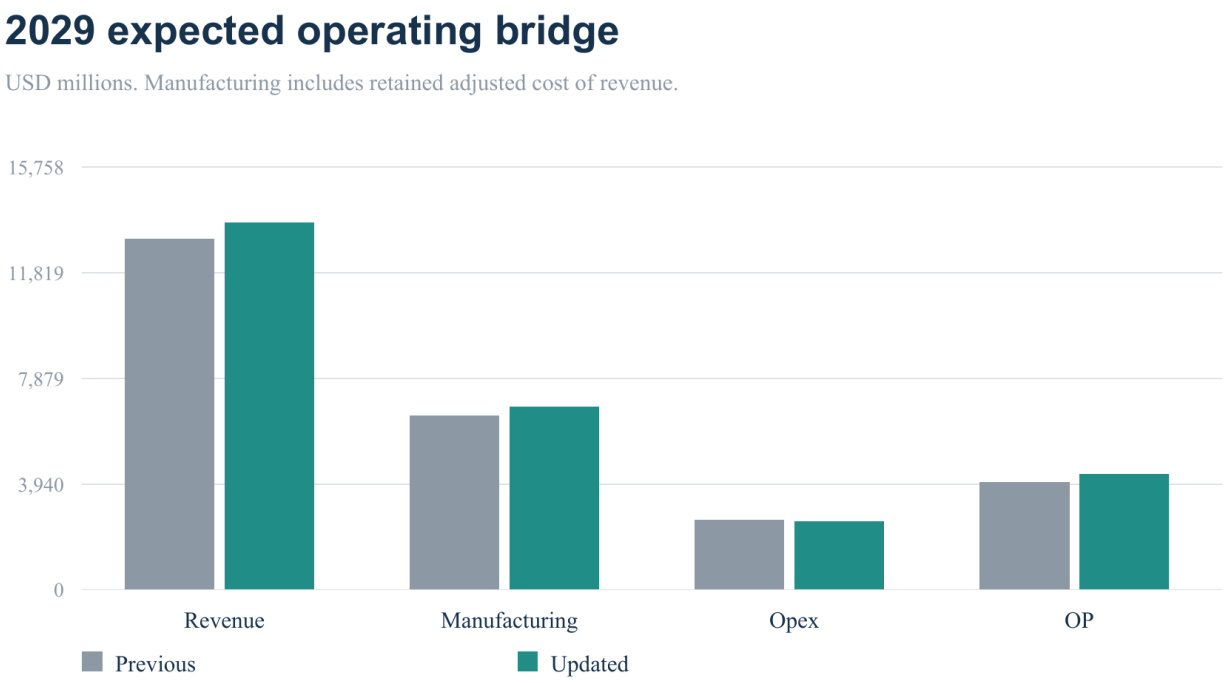
The adopted conditional case uses the 32% lower end of the operating-margin range, not the 35% upper end. Revenue is about $14,105 million at the implied endpoint. At 50% gross margin,32% operating margin leaves 18% for adjusted operating expenses, within the issuer plan. The exact annual dollars are our calculation from the retained 2026 anchor; management gave an approximate growth target.

Source: https://investor.ciena.com/news/news-details/2026/Ciena-Announces-Fiscal-Year-2029-Financial-Targets/default.aspx

Probability, overlap and the cost bridge

A60% joint probability weights the new endpoint against 40% on the prior path. This reflects direct issuer targets, demonstrated growth and supply commitments, offset by the three-year execution horizon. The same probability covers revenue conversion, mix and expense leverage. They are correlated and are not separate independent shocks.

For 2028, the conditional path interpolates revenue and a 29% adjusted operating margin. This is an ASTRA timing assumption, not a new company annual guide. For 2030, incremental annual revenue, gross profit and operating-expense dollars are held flat from 2029 rather than compounding another market-growth claim. Actuals and 2027 inputs remain unchanged.

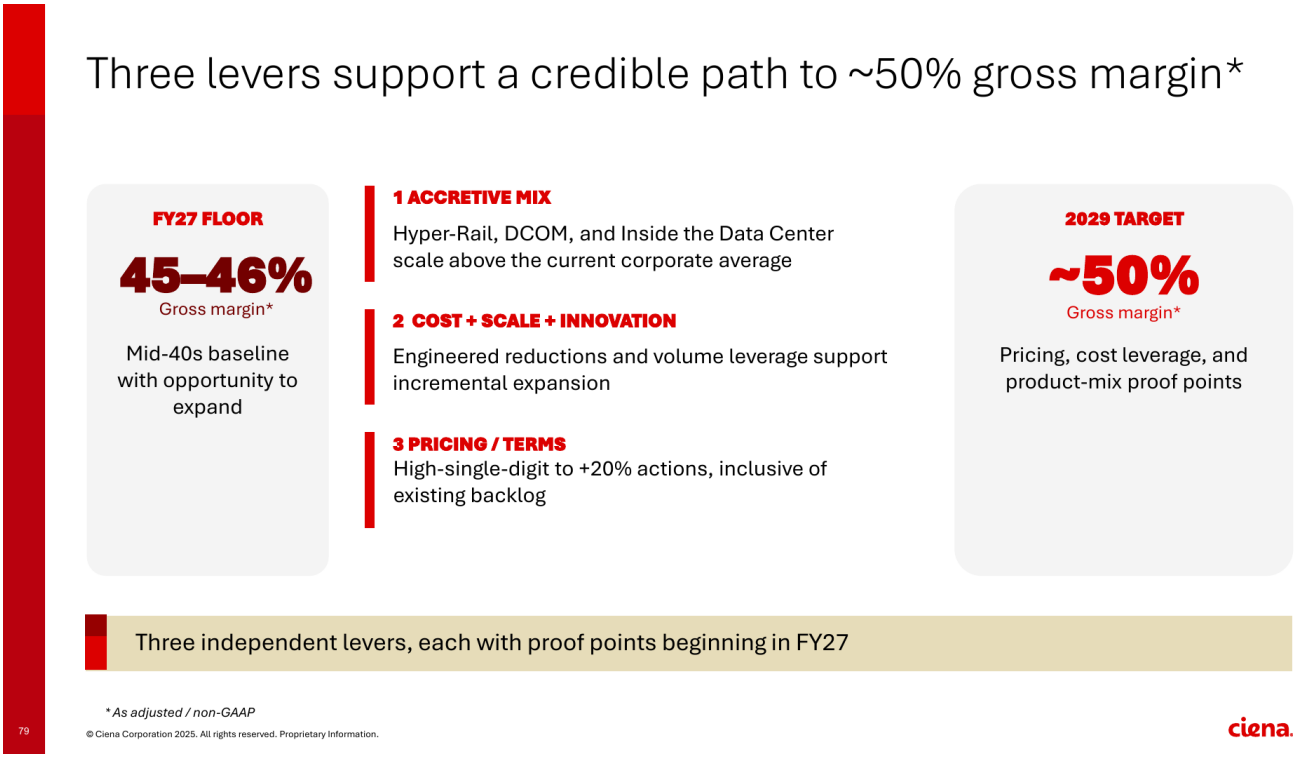


Expected 2029 cost bridge after the joint probability and existing-model overlap deduction.

2029, USD millions	Previous	Updated
Revenue	13,100	13,703
Manufacturing costs	6,488	6,827
Operating expenses	2,597	2,562
Adjusted operating profit	4,014	4,314

The conditional endpoint includes higher manufacturing costs. Operating expenses grow substantially from 2027, even though they are slightly below the old 2029 budget. Reusable engineering and customer coverage, product mix and volume leverage support that direction. Support, selling, research, materials and ordinary depreciation do not disappear. The preserved adjusted basis has exclusions; it is not relabeled GAAP profit.

How management expects margins to improve



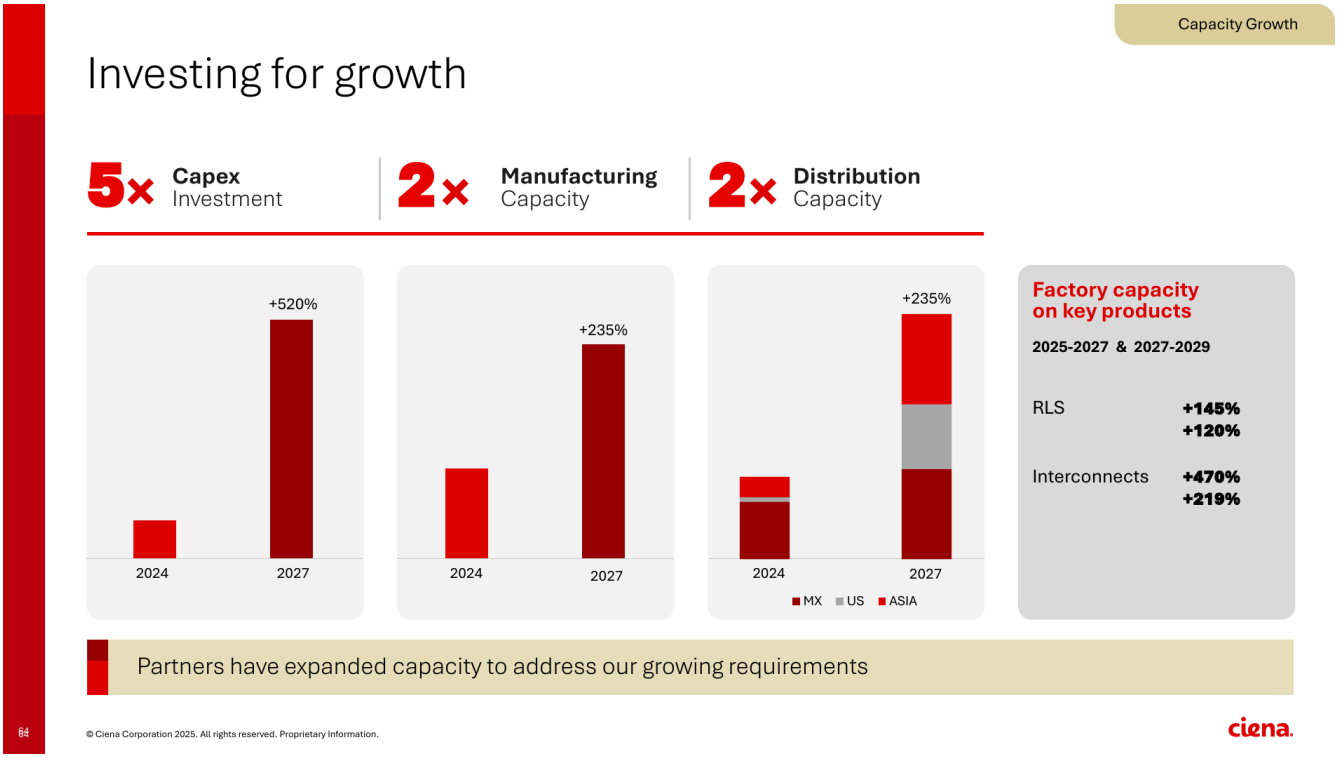
Original Ciena Investor Forum, PDF page 79. Pricing, mix and engineered costs belong to the same all-in operating case.

Specific issuer evidence says pricing actions can include parts of existing backlog, depending on product and customer. The CFO says the effect begins in 2027 and annualizes over the three-year period. That supports the revenue/margin path, but does not mean every backlog dollar receives a 20% increase.

Hyper-Rail, DCOM, newer interconnects, mature product cost reductions and common R&D/sales infrastructure are the stated mechanisms. The model does not add a separate price uplift on top of a profit target that already includes those levers. Tariff recovery is not assumed to become a recurring source of margin.

The issuer plans roughly $2,500-3,000 million of adjusted R&D through 2029. That is spending needed to compete, not extra sales or an expense exemption. The model operating-expense envelope retains investment alongside leverage.

Supply is an investment and timing constraint



Original Ciena Investor Forum, PDF page 64. Capacity plans have specific products and comparison periods; they are not recognized revenue.

The issuer identifies constraints in pump lasers, memory and ceramic packaging. Its response includes multi-year supply agreements, supplier funding, qualified alternative sources and design for manufacturing, testing and cost. Those are credible mechanisms for capacity expansion, with timing and funding obligations.

Management did not expect demand and supply to balance before 2028. A larger backlog therefore supports visibility while also signaling a delivery limit. Contract manufacturing, internally designed test equipment, yields and supplier qualification must all work together. The model does not convert the bank illustration of unmet orders into same-period sales.

Supply investment can consume cash before delivery. Cash capex, component commitments, depreciation, revenue acceptance and operating profit are separate. No second cash/debt value is added under the preserved direct operating-profit valuation formula.

Product expansion has to earn its revenue

DCOM

Investing to capture an expanding DCOM opportunity

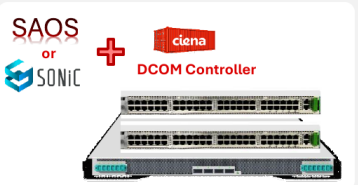
Continue to lead with the DCOM solution

- Operationalize the software solution at scale – quality, security
- Services to speed deployment
- Higher-capacity DCOM routers



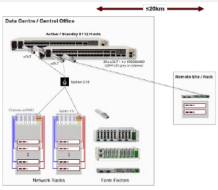
Capture new hyperscaler / neoscaler demand

- New ONU and OLT hardware
- Containerized DCOM controller
- SONiC support



Expand application space to general DC market & DCIM

- Enterprise and small data centers (500-1000+ servers)
- Building, campus, <10km distance
- Streamlined configuration management and offline planning



Reusing / repackaging the technology to **address a broadening opportunity**

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ciena.

Original Ciena Investor Forum, PDF page 49. New DCOM customer pursuit is included in the broader company plan.

Hyper-Rail extends line-system density for distributed AI clusters. WaveLogic and Waveserver support data-center and backbone transport. Pluggables change how customers consume the technology, while DCOM addresses network management inside facilities. These routes can overlap customers and equipment budgets.

The bank report describes additional DCOM customers and assigns potential revenue per customer. Issuer remarks already put DCOM, Hyper-Rail, plugs, modules and early CPO/NPO inside the all-in path to about $14 billion. Adding those anecdotes to that endpoint again would duplicate economics. The issuer transcript counts deployed optical-network units; the bank description of them as racks is not adopted.

CPO/NPO first samples are expected in late 2026, with later coherent-lite/module adoption. Samples and laboratory engagement are different from volume acceptance. The revised all-in forecast contains their initial contribution; no independent shipment quantity is invented.

Five analytical revenue vectors

The inherited vectors preserve traceability to the existing model: Optical Networking, Routing and Switching, Platform Software and Services, Blue Planet, and Global Services. Fiscal 2027 issuer reporting changes to four segments. Until issuer actuals provide a crosswalk, these remain analytical forecast allocations rather than claims about future reported segment detail.

Year	Optical	Routing	Software	BluePlanet	Services	Total
2027	6,210	780	450	105	855	8,400
2028	8,067	1,059	534	131	998	10,790
2029	10,214	1,370	638	183	1,297	13,703
2030	11,442	1,560	718	239	1,643	15,603

USD millions, forecasts. The net all-in receipt revision is allocated in the existing product proportions. That allocation is an explicit model proxy, not separately disclosed new orders. Segment gross margins reconcile to the consolidated gross-profit path; the new group-margin endpoint is not an additional revenue source.

Engineering leadership and qualification can support price and mix, but Nokia, Cisco, Huawei, ZTE, merchant silicon and other optical/component suppliers remain capable competitors. The moat is performance and installed architecture; the model has no monopoly assumption.

Retained framework score	Points
Core thesis	16 /20
Cycle	9 /10
TAM expansion	10 /10
Catalysts	5 /5
Macro	9 /10
Alpha	2 /5
Risk deduction	-5
Total / analytical Base	46 /60 =77%

Quarterly operating forecast

USD millions, rounded for reading. Exact values are preserved in the linked model and calculation record. The 2026 actual and guidance labels are retained; every later quarter is a forecast.

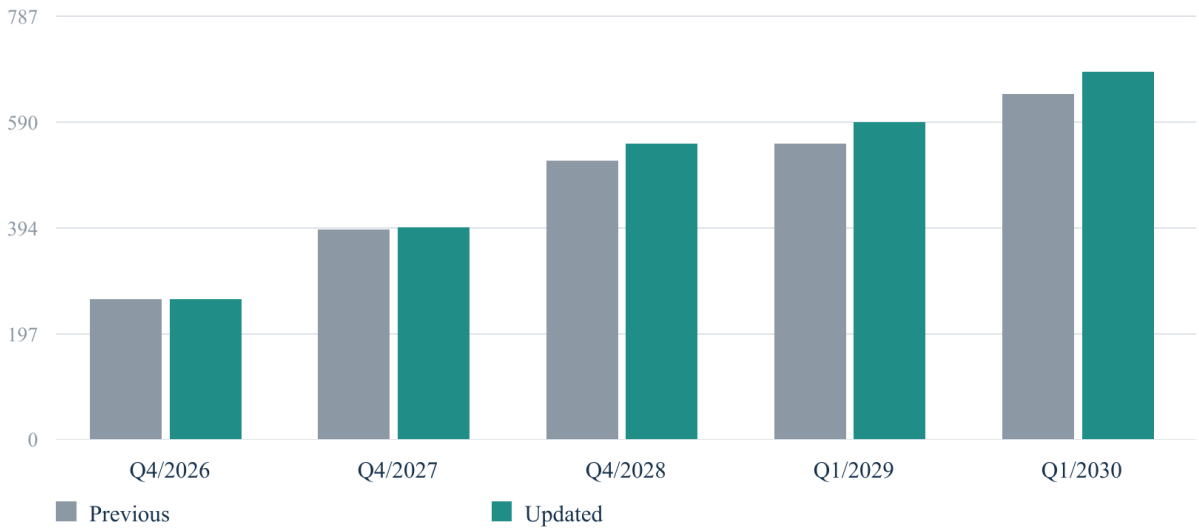
Quarter	Revenue	Gross profit	Opex	Adjusted OP	OP margin
Q3 2026	1,671	776	400	376	22%
Q4 2026	1,750	793	443	350	20%
Q1 2027	1,900	869	394	475	25%
Q2 2027	2,050	947	424	523	25%
Q3 2027	2,150	1,003	444	559	26%
Q4 2027	2,300	1,087	455	632	28%
Q1 2028	2,471	1,181	486	695	28%
Q2 2028	2,622	1,267	516	751	29%
Q3 2028	2,773	1,355	547	808	29%
Q4 2028	2,924	1,444	577	866	30%
Q1 2029	3,190	1,581	597	985	31%
Q2 2029	3,347	1,674	625	1,049	31%
Q3 2029	3,504	1,770	655	1,115	32%
Q4 2029	3,661	1,851	686	1,165	32%
Q1 2030	3,745	1,894	706	1,188	32%
Q2 2030	3,849	1,948	718	1,230	32%
Q3 2030	3,953	2,003	730	1,273	32%
Q4 2030	4,057	2,058	751	1,306	32%

The valuation method is unchanged

Each target uses that quarter plus the next three quarters of adjusted operating profit, multiplied by 20 and divided by 146 million shares. No separate cash/debt adjustment is introduced. The share count is an inherited proxy, not a fresh capitalization-table verification. The active horizon remainsQ4 2027; a calendar roll is separate from an economic revision.

Quarterly valuation path

USD per share.20x forward-four-quarter adjusted OP;146M shares.



Same quarter, currency, share basis and 20x method. Only the newly supported operating path changes.

Chart quarter	Previous	Updated
Q4 2026	$261	$261
Q4 2027	$391	$395
Q4 2028	$518	$550
Q1 2029	$550	$591
Q1 2030	$644	$685

Full quarter-by-quarter targets

Target quarter	Previous	Updated	Revision
Q3 2026	$236	$236	Unchanged
Q4 2026	$261	$261	Unchanged
Q1 2027	$300	$300	Unchanged
Q2 2027	$329	$330	Less than 1%
Q3 2027	$359	$361	+1%
Q4 2027	$391	$395	+1%
Q1 2028	$422	$427	+1%
Q2 2028	$453	$467	+3%
Q3 2028	$485	$508	+5%
Q4 2028	$518	$550	+6%
Q1 2029	$550	$591	+7%
Q2 2029	$577	$619	+7%
Q3 2029	$602	$644	+7%
Q4 2029	$624	$665	+7%
Q1 2030	$644	$685	+6%

The modest active-target revision does not conceal the later change. FY2029 forward profit is about 7% higher, and theQ1 2029 target rises by the same proportion under the unchanged direct-profit formula. At a 30% realization weight rather than 60%, the later profit effect would still exceed 3%; that diagnostic supports doing this update despite the smaller active-horizon change.

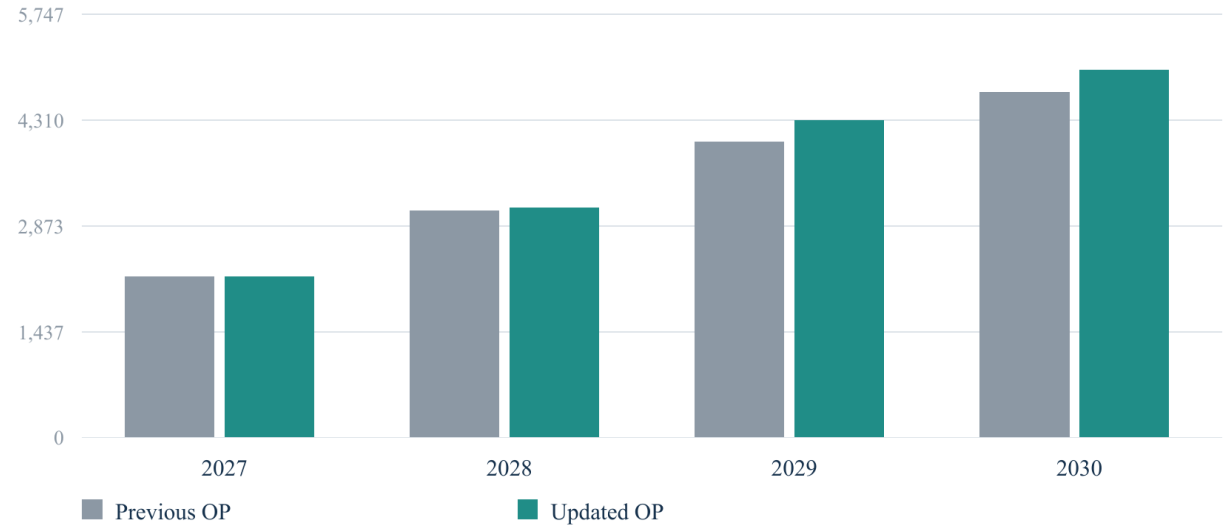
What would change the conclusion

Risk	Observable test
Customer concentration	Major cloud customer cancellations, delays or architecture changes.
Capacity and cash	Supplier commitments fail to produce qualified output or working-capital cash use persists without conversion.
Competition	Priority systems or interconnect programs lose share or realized prices weaken.
Product execution	Hyper-Rail standardization, Vesta or DCOM qualification/acceptance slips.
Costs and per-share outcome	R&D/support growth, materials, tariffs, convert mechanics or issuance exceed the retained assumptions.

The next earnings calls should test backlog conversion and requested dates, new customer acceptance, realized product prices, supplier capacity, gross margin, operating-expense dollars and cash conversion. Volume, mix and incremental costs matter together. A higher market-size forecast alone is not a reason to raise company sales.

The largest revision is later in the path

USD millions. Same adjusted-profit basis and valuation method.



The adopted expected-profit revision is concentrated in 2029 and the bounded continuation. These are model forecasts.

Year	Previous OP	Updated OP
2027	2,189	2,189
2028	3,080	3,120
2029	4,014	4,314
2030	4,698	4,997

Sources and calculation scope

S1. Owner-supplied BofA Global Research, Ciena, October 13, 2026, Tal Liani and Tomer Zilberman. All 12 supplied pages visually reviewed. Bank estimates and stock target are not company guidance.

S2. Ciena September16,2026 three-year target release:
https://investor.ciena.com/news/news-details/2026/Ciena-Announces-Fiscal-Year-2029-Financial-Targets/default.aspx

S3. Ciena Investor Forum deck, selected relevant pages48,49,64,66,76,78,79,80,82,83,84 visually checked:
https://s25.q4cdn.com/550667411/files/doc_events/2026/09/16/Ciena-Investor-Forum-2026-Event-Materials-Final.pdf

S4. Issuer-hosted Investor Forum transcript, relevant product/supply/finance pages20-22 and26-36:
https://s25.q4cdn.com/550667411/files/doc_events/2026/09/16/Ciena-Investor-Forum-2026-Full-Transcript-of-the-Day-s-Events-Final.pdf

S5. September3 fiscalQ32026 original earnings release/call and existing saved operating model supply the retained actuals,2027 assumptions, score,20x method and146Mshare convention.
https://investor.ciena.com/news/news-details/2026/Ciena-Reports-Fiscal-Third-Quarter-2026-Financial-Results/default.aspx

The complete issuer PDFs and original owner file are retained. Only relevant sections of the 86-page forum deck were reviewed; no claim is made that every unrelated slide was substantively reassessed. Full future adjusted-to-GAAP reconciliation is unavailable from the issuer, so the established adjusted method stays explicit.

Display rounding never changes stored calculations. Company targets, bank estimates, historical reported results, ASTRA interpolation,60% probability and the 2030 continuation remain separate. No Excel Base, valuation multiple, stock price, or unrelated company input was changed.